PORTFOLIO OPERATIONS NOTE

Rebalancing Trigger Analysis - Q3 2024 Review

Date: October 2, 2024 | Ref: OPS-2024-REB-003

Trigger Type: Asset class drift exceeding 2.5% band

Asset Class in Breach: US Equity (overweight), Fixed Income (underweight)

Estimated Trade Volume: $215M CAD equivalent

Prepared by: Portfolio Operations Team

Drift Analysis

The Q3 2024 quarterly rebalancing review has identified asset class drift exceeding the 2.5% tolerance bands specified in the Investment Policy Statement. The primary driver is US equity outperformance (+8.9% in Q3) relative to the fixed income allocation (-0.4%). The current actual allocation versus target is as follows:

- Canadian Equity: Target 30%, Actual 29.1% - within band (no action required)
- US Equity: Target 20%, Actual 23.2% - BREACH (+3.2%, above +2.5% tolerance)
- International Equity: Target 10%, Actual 9.4% - within band
- Fixed Income: Target 25%, Actual 21.8% - BREACH (-3.2%, below -2.5% tolerance)
- Real Estate: Target 5%, Actual 4.7% - within band
- Infrastructure: Target 3%, Actual 3.4% - within band
- Cash: Target 2%, Actual 3.1% - within band (elevated pending deployment)
- Alternatives: Target 3%, Actual 3.3% - within band

Proposed Rebalancing Trades

To restore compliance with IPS band requirements, the following trades are recommended:

- SELL: US Equity ETF (XUU) - reduce by $180M CAD equivalent to bring US equity to 20.5% (within tolerance)
- BUY: Government of Canada Bond Fund - add $120M to bring fixed income to 23.5%
- BUY: Investment Grade Corporate Bond ETF (ZAG) - add $60M to bring total fixed income to 24.8%
- BUY: Cash/HISA ETF - $35M residual held in cash pending Q4 opportunities

Implementation Plan

Trades will be executed over 5 business days (October 3-9) to minimize market impact. Equity reductions will be executed via algorithmic trading with a VWAP target. Fixed income additions will be executed via RFQ with 3 dealers for each transaction. Total estimated transaction costs: $312,000 (approximately 1.5bp on total trade volume).

Post-rebalancing portfolio weights will be reported to the Investment Committee at the October 15 monthly meeting. Risk team will confirm IPS compliance within 2 business days of trade completion.